

Complete Guide to Market Regime Indicators

Daily & Weekly Workflow - From Theory to Practice PART 4



AXEL ADLER JR

NOV 25, 2025 · PAID



3



3



2

Share



Connection to Previous Parts

In **Part 1** we covered why Bitcoin can no longer be analyzed in a vacuum, and studied the **Core 5 indicators**.

In **Part 2** we added 5 **advanced early warning metrics** with specific thresholds.

In **Part 3** we assembled everything into a **Regime Scorecard** with entry/exit rules and basic daily/weekly workflow.

Part 4 = operationalization. Now we zoom in and show how exactly this looks in real practice - **5 minutes in the morning**, **30 minutes once a week**, and no information overload.

4.1. Morning Routine (5 minutes)

Goal: Quick check whether the macro regime has changed since yesterday. We covered these indicators in detail in Parts 1-2, and defined thresholds in Part 3.

Morning Checklist (in order of priority):

1. VETO-indicators (30 sec)

- HY Spreads (>500 bps + widening = crisis mode)
- MOVE Index (>120 = bond panic)

→ If either is in the red zone - **immediate risk-off**, all other metrics are secondary.

2. VIX & Equities (1 min)

- VIX: >25 = elevated risk, >35 = panic
- S&P 500: daily change + distance from 200 DMA
- Market breadth: % stocks above 50 DMA

3. Yields & Dollar (1 min)

- 10Y UST yield: direction + absolute level
- DXY: 5-day trend



4. Overnight Bitcoin behavior (1 min)

- How BTC reacted to macro moves overnight
- Correlation check: moved with equity futures or decoupled?

5. News scan (1-2 min)

- Bloomberg headlines
- Fed speakers
- Geopolitics (if relevant)

If nothing critical happened:

- Day proceeds as planned.
- No impulsive actions.
- Weekly Review on Friday will do a deep reassessment.

4.2. Weekly Review (30 minutes every Friday)

Updating the Scorecard from Part 3, using metrics from Parts 1-2.

Part 1: Scorecard Update (10 min)

Opening Google Sheets / Notion with the table from Part 3.

Updating all 10 indicators:

Indicator	Current Value	Score	vs Last Week
10Y Yield	4.2%	0	↑
S&P 500	5,850 (+2.1% WoW)	+1	↑
Market Breadth	68% above 50 DMA	+1	→
DXY	103.5	0	↓
VIX	14	+1	↓
Gold	\$2,050	0	→
HY Spreads	320 bps	+1	→
MOVE Index	95	0	↓
Put/Call Ratio	0.85	0	↑
ISM Services	54.2	+1	↑
Real FFR	+1.8%	0	→

Regime Score: +5 (mild risk-on)

Part 2: Pattern Recognition (5 min)

Looking at changes vs. last week:

- What improved? (Equity breadth, VIX down)
- What deteriorated? (10Y yields up, Put/Call rising)
- Any **divergences**? (S&P rising, but breadth weakening = warning)

Part 3: VETO CHECK (5 min)

Critical thresholds (immediate action):

- HY Spreads >500 bps + widening trend
- MOVE Index >120

Pre-VETO warning zone (heightened attention):

- HY Spreads 450-500 bps
- MOVE Index 110-120

→ If either is in the red zone - **override all other signals**, switch to defensive mode regardless of Scorecard.

Part 4: Bitcoin Context (5 min)

Analyzing how BTC behaved relative to macro this week:

- Correlation with S&P 500 (rolling 30-day): rising or falling?
- Reaction to Fed news / yields moves
- On-chain metrics: LTH SOPR, Exchange NetFlow (if using)

Part 5: Action Plan for next week (5 min)

Based on Regime Score and trends:

Score +3 and above (risk-on):

- Can hold beta positions (BTC, altcoins)
- Look for entry points on pullbacks

Score -1 to +2 (neutral):

- Cautious mode
- Reduce leverage
- Maintain cash buffer

Score -3 and below (risk-off):

- Defensive: SOL-only or cash
- Hedges through VIX calls / short beta
- Wait for stabilization

4.3. Data Sources & Tools

Free Tier (sufficient for 95% of cases)

Yields & FX:

- TradingView (10Y UST, DXY) - free charts
- FRED (St. Louis Fed) - historical data
- Investing.com - real-time quotes

Equities:

- Yahoo Finance / Google Finance - S&P 500, breadth metrics
- MarketChameleon - free market breadth data
- Finviz - heatmaps and sector rotation

Volatility:

- CBOE.com - VIX, MOVE (free access)
- TradingView - Put/Call Ratio

Credit spreads:

- FRED - ICE BofA HY OAS (delayed, but sufficient)
- FINRA - corporate bond data

Bitcoin:

- CryptoQuant - basic on-chain
- TradingView - price + volume

Paid Tier (for reference)

For 95% of readers the free-stack is sufficient. But if trading scale justifies it:

Koyfin (\$49-110/month) - best price/quality balance for retail:

- Credit spreads (HY, IG) real-time
- Institutional-grade charting
- Custom dashboards

Bloomberg Terminal (\$2,000+/month) - industry standard, but overkill for individual trader.

Refinitiv / YCharts - middle ground between free and Bloomberg.

→ **Recommendation:** Start with free-stack. Move to paid only if you clearly understand what problem you're solving.

4.4. Automation & Alerts

Critical Alerts (must be set up mandatory)

TradingView alerts:

1. **HY Spreads >500 bps** (fetch from FRED: ICE BofA HY OAS)
2. **MOVE Index >120**
3. **VIX >35** (true panic threshold)
4. **S&P 500 breaks 200 DMA** (both directions)

Setup: TradingView → Alerts → Email/SMS/App push.

Weekly Automation

Google Sheets template:

- Copy Scorecard from Part 3
- Connect `GOOGLEFINANCE()` for automatic price updates
- Use conditional formatting for color-coding (red/yellow/green)

Example formula:

```
=GOOGLEFINANCE("INDEXSP:.INX", "price")
```

Advanced: Custom VIX alerts via Python

My script that lives on my Mac OS and checks the index every 10 minutes

```
import time
from datetime import datetime

import yfinance as yf

VIX_SYMBOL = "^VIX"
VIX_WARNING_LEVEL = 20      # warning threshold
VIX_SPIKE_LEVEL = 25        # spike threshold
CHECK_INTERVAL_SECONDS = 10 * 60 # check every 10 minutes
```

```

def get_vix_last_close():
    """
    Returns the latest VIX close value.
    If data cannot be retrieved, returns None.
    """
    try:
        vix = yf.Ticker(VIX_SYMBOL)
        history = vix.history(period="1d")

        if history.empty:
            return None

        return float(history["Close"].iloc[-1])
    except Exception as e:
        send_alert(f"Error fetching VIX data: {e}")
        return None

def check_vix():
    """
    Checks VIX and returns (value, status_string).

    Status can be:
    - "SPIKE (RISK-OFF)"
    - "ELEVATED"
    - "NORMAL"
    - "NO DATA"
    """
    current = get_vix_last_close()
    if current is None:
        return None, "NO DATA"

    if current > VIX_SPIKE_LEVEL:
        status = "SPIKE (RISK-OFF)"
        send_alert(f"🔥 VIX SPIKE: {current:.2f} - RISK-OFF MODE")
    elif current > VIX_WARNING_LEVEL:
        status = "ELEVATED"
        send_alert(f"VIX crossed 20: {current:.2f}")
    else:
        status = "NORMAL"

    return current, status

def send_alert(message):
    # Print alert on a separate line (doesn't conflict with the status line)
    print(f"\n[{datetime.now()}] ALERT: {message}")

def format_status_line(timestamp, vix_value, status, seconds_left):
    """
    Builds a single-line status string with countdown.
    """
    if vix_value is None:
        vix_str = "N/A"
    else:
        vix_str = f"{vix_value:.2f}"

    return (

```

```

f"[{timestamp}] "
f"VIX: {vix_str} | "
f"Status: {status:<16} | "
f"Next check in: {seconds_left:4d} s"
)

if __name__ == "__main__":
    while True:
        # 1) Do the check
        vix_value, status = check_vix()
        check_time = datetime.now().strftime("%Y-%m-%d %H:%M:%S")

        # 2) Show countdown until the next check
        for remaining in range(CHECK_INTERVAL_SECONDS, 0, -1):
            line = format_status_line(check_time, vix_value, status, remaining)
            print(line, end="\r", flush=True)
            time.sleep(1)

```

4.5. Sample Week (real case)

Monday: Full reset after the weekend

Morning (9:00 AM ET):

Opening the terminal. First thing - VETO check:

- HY Spreads: 325 bps (OK, below 450)
- MOVE: 98 (OK, below 110)

→ Green light, continuing analysis.

VIX: 16 (calm). S&P broke 5,800 for the first time in a month, breadth strong (72% above 50 DMA). 10Y yield 4.15%, stable.

Conclusion: Risk-on regime persists. Holding positions. Will check on Wednesday if something changes.

Tuesday-Wednesday: Mid-week shift

ISM Services data comes out Tuesday - 53.8, slightly below expectations, but still expansion territory. VIX ticked to 18, S&P -0.5%, but no panic.

By Wednesday the situation stabilized: equity markets recovered, yields unchanged, Bitcoin holding above \$68k. No action required — regime unchanged, continuing as planned.

Thursday: Geopolitical headline

Headline: Tensions in Middle East spike oil prices +3%.

Immediate check (10:30 AM):

- VIX: 21 (rose, but not critical)
- HY Spreads: 340 bps (widened by 15 bps, but far from 450)
- MOVE: 102 (also rose, but below 110)

Decision: For now headline risk, not structural shift. Waiting for Friday for full reassessment. If by Friday HY is >400 or MOVE >110 - will reduce exposure.

Friday: Weekly Review

Full scorecard update (see 4.2):

After Thursday's events:

- Regime Score dropped from +6 to +3 (mild risk-on → neutral)
- HY Spreads 340 (was 320)
- VIX 19 (was 14)
- Breadth weakened to 65% (was 72%)

VETO check: Still green (HY <450, MOVE <110).

Action plan for next week:

- Reducing leverage from 3x to 2x
- Increasing cash buffer from 10% to 20%
- Setting tighter stop-losses
- Monitoring ISM / NFP data next week - if worse, will go defensive

Weekend: Market closed, research time

Deep analysis:

- Reading Fed speakers' remarks (Powell, Waller)
- Looking at sector rotation: tech vs defensives
- Updating Bitcoin on-chain metrics from our previous issues
- Planning scenarios for next week:
 - **Bull case:** geopolitics calm down, VIX drops back <16
 - **Bear case:** situation escalates, HY spreads >400

4.6. Common Mistakes & How to Avoid Them

Error 1: Information overload

Symptom: Looking at 50+ indicators every day, paralyzed by analysis.

Fix: Stick to Core 10. Everything else is noise. Weekly Review is sufficient for 90% of decisions.

Error 2: Ignoring VETO signals

Symptom: “HY Spreads >500, but S&P still rising, so I’m holding long.”

Fix: VETO = **override everything**. When HY >500 or MOVE >120 - this is not a signal to “think”, it’s a signal to “act immediately”. Risk-off, no discussion.

Error 3: Reacting to every daily noise

Symptom: VIX rose from 14 to 16 → panic → sold everything → VIX dropped back → bought back higher.

Fix: Use the weekly framework. If intra-week changes don’t shift Regime Score by ± 3 points - no action.

Error 4: Ignoring Bitcoin’s correlation with macro

Symptom: “Bitcoin is a hedge against traditional markets, so I don’t look at yields / equities.”

Fix: Remember - after spot ETF launch in January 2024, BTC finally became an element of the global risk cycle. Correlation with S&P >0.7 most of the time. Macro is now primary driver.

Error 5: Incorrect VETO thresholds

Symptom: Using different numbers in different contexts (450 vs 500 for HY).

Fix: Unified thresholds everywhere:

- VETO triggers (immediate action): HY >500 bps + widening, MOVE >120
- Pre-VETO warning zone (heightened attention): HY 450-500, MOVE 110-120

Error 6: Over-trading on news

Symptom: Fed speaker said something → immediately buy/sell → an hour later turns out he said nothing new.

Fix: Wait for price action confirmation. If news is truly important - it will reflect in yields, VIX, credit spreads within 24-48 hours.

4.7. Bitcoin in Macro Context - Practical Application

Key principle (from Part 1):

After spot ETF launch in January 2024, Bitcoin finally became an element of the global risk cycle. Institutional flows dominate, correlation with equities consistently high.

Practical implications:

1. Bitcoin now moves with risk assets

Correlation with S&P 500:

- 2020-2023: 0.30-0.50 (medium)
- 2024+: 0.65-0.80 (high)

→ If macro scorecard shows risk-off - BTC will go down, even if on-chain metrics are neutral.

2. Yields impact BTC through discount rate mechanism

When 10Y yield rises quickly:

- “Risk-free rate” becomes more attractive
- Institutional capital flows from BTC to bonds
- BTC corrects (like tech stocks)

3. Credit stress = BTC stress

HY Spreads >500 bps means:

- Liquidity crunch
- Forced deleveraging
- BTC sold first (most liquid risk asset)

Bitcoin-specific additions to workflow:

Weekly review should include:

1. **Correlation check** (TradingView):
 - 30-day rolling correlation BTC vs S&P
 - If correlation drops <0.4 → BTC may decouple (rare, but happens)
2. **On-chain supplements** (if using):
 - Read all three issues again:

[Bitcoin ETF Liquidity Impulse](#)

[LTH Distribution Pressure](#)

[Short-Term Holder Pressure Index](#)

2. **Funding rates check** (if trading futures):

- Funding >0.1% annualized = overleveraged longs → risk of cascade liquidations
- Funding <-0.05% = underleveraged → can look for longs

Important: Macro always primary, on-chain secondary

If macro Scorecard = -5 (deep risk-off), but on-chain shows accumulation: → **Trust macro**. On-chain may show smart money accumulation, but if HY spreads >500 and MOVE >120 — institutional selling will outweigh retail buying.

Conclusion: From Knowledge to Discipline

You've gone from theory to practice:

	Part 1	Part 2	Part 3	Part 4
Focus	What to watch	Early signals	How to assess	How to live with it
Indicators	Core 5	Advanced 5	All 10 in Scorecard	Operationalization
Output	Understanding	Thresholds	Regime Score	Daily/Weekly process
Time	Theory	Theory	Framework	5 min/day + 30 min/week

What you now have:

- ✓ **Morning Routine (5 min)**: quick check, not paranoia
- ✓ **Weekly Review (30 min)**: systematic regime reassessment
- ✓ **VETO system**: protection from catastrophic mistakes
- ✓ **Clear action triggers**: no “what if...”
- ✓ **Sustainable workflow**: not burnout, but discipline

Final checklist:

Do right now:

- Set up TradingView alerts (HY >500, MOVE >120, VIX >35)
- Copy Scorecard template from Part 3 to Google Sheets
- Add Friday Weekly Review to calendar (recurring)
- Save data sources list (section 4.3)

Next 30 days:

- Fill out Scorecard every Friday (even if “nothing changed”)
- Track your decisions vs actual market moves

- Adapt workflow to your timezone / schedule

Remember:

Macro analysis is not predicting the future.

It's managing risk in real time.

You won't be right on every trade. But you will be right **systematically**, and that's all that matters in the long term.

Brief Glossary of Terms

For quick reference (detailed in Parts 1-3):

- **HY Spreads / HY OAS** - yield premium of high-yield corporate bonds over treasuries; credit stress indicator (Part 2)
- **MOVE Index** - "VIX for bonds", bond market volatility (Part 2)
- **Real FFR** - real Fed Funds Rate adjusted for inflation; shows monetary policy restrictiveness (Part 2)
- **Put/Call Ratio** - ratio of put/call options; fear vs greed indicator (Part 2)
- **ISM Services PMI** - business activity index in services sector; >50 = expansion (Part 2)
- **Market Breadth** - % of stocks above 50/200 DMA; shows "health" of growth (Part 1)
- **VETO** - critical override system: HY >500 or MOVE >120 = immediate risk-off (Part 3)

Next step: Apply this workflow in practice for 4 weeks. After a month of use you'll see how much it changes your ability to read the market.

Good luck, and stay disciplined.

AAJ + Barry



3 Likes · 2 Restacks

← Previous

Next →

Discussion about this post

Comments Restacks



Write a comment...



I90020103 I90020103 3d

...

Liked by Axel Adler Jr



LIKE (1) REPLY

SHARE



Artur Patrzylas 1d

...

Similar series for on-chain? Please :)

LIKE REPLY

SHARE

1 reply by Axel Adler Jr

1 more comment...

